

ICAI / AICA LEVEL 2 CAPSTONE PROJECT

Autonomous Legal Intelligence & Precedent Synthesis Engine for GST Section 16(2)(c) & NGTP Disputes

THE MACRO CRISIS Rs. 75,000+ Cr Locked in Section 16(2)(c) & NGTP demands against compliant buyers across India.	MANUAL TIME SINK 15 - 20 Hours Spent by a CA/Advocate auditing invoices, bank UTRs, FASTag, and E-Way bills per SCN.	LITIGATION RISK 65%+ Failure Rate Due to inadvertent drafting concessions & failure to invoke binding Supreme Court ratio.
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1. The Core Legal Dilemma: The 'Impossible' Condition

- **The Impossible Condition (Section 16(2)(c)):** Tax law conditions buyer's credit on the supplier's actual deposit of tax into the Government Treasury. A purchasing recipient can prove payment of consideration & GST via RTGS, but possesses zero legal machinery to compel a third-party seller to deposit tax.
- **Retrospective Cancellation Injustice:** Tax authorities cancel supplier GSTINs retrospectively (ab-initio 5 years later) and mechanically deny credit to innocent buyers who transacted when the registration was active and valid on the GST portal (violating *LGW Industries & D.Y. Beathel*).
- **Supreme Court Suncraft Ratio (Article 141):** The Calcutta High Court ruled—and the Supreme Court affirmed (SLP 27927/2023)—that Revenue cannot recover tax from the buyer without first exhausting all statutory avenues against the defaulting supplier. Yet lower authorities routinely violate this binding rule.
- **Absence of Scientific Viability Scoring:** Tax leaders lack an objective tool to evaluate whether an appeal is viable (Proceed) or doomed (Hold), relying on subjective guesswork rather than evidentiary mathematics.

2. The Capstone Engineering Solution: NGTP Intelligence Engine

1. Instant Audit (2 Secs) Replaces 20 hours of manual audit. Validates Rule 46 invoices, 180-day bank RTGS proof, and E-Way bills.	2. Article 141 Synthesis Dynamically binds 8+ Supreme Court & High Court rulings (<i>Suncraft, Beathel, LGW</i>) into court-ready IRAC grounds.	3. Decision Verdict Computes first-principles Readiness (0-100) & Viability scores: Definitive PROCEED vs HOLD.
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CAPSTONE DEMONSTRATION: PROCEED VS HOLD MATRIX

Empirical Proof: Testing Genuine Retrospective Cancellation vs Deficient Paper Supply

Dimension	Dataset 1: Proceed Worthy (Retrospective Cancellation)	Dataset 2: Not Worthy (HOLD / Paper Supply)
Taxpayer Matter	M/s Apex Precision Engineering (FY 2018-19) Disputed ITC: INR 38,40,000	M/s Shaurya Infra Projects (FY 2019-20) Disputed ITC: INR 52,00,000
Core Fact Pattern	Supplier registration was ACTIVE at supply date. Tax paid via RTGS in 12 days. Registration cancelled retrospectively 5 years later.	Allegation of circular trading under Sec 74. NO E-Way bill, NO transit proof. Payment delayed by 216 days (>180 days).
Documentary Evidence	Rule 46 Invoices + RTGS Bank Statement + E-Way Bill + Weighbridge Slip + FASTag Toll Logs + GSTR-1 Ack + DRC-07	Deficient Invoices + Delayed Bank Statement + DRC-07 [ZERO E-Way Bill & ZERO Transit Records]
Engine Statutory Audit	All 8 Parameters Satisfied (NGTP-P1 to P8) Protected by <i>LGW Industries</i> and <i>D.Y. Beathel</i> .	NGTP-P2 Failed (Section 16(2)(b) Transit) High Section 74 Vulnerability (Circular Trading)
Litigation Readiness Score	100 / 100 (Optimal Litigation Standard)	50 / 100 (High Litigation Risk)
Viability Assessment	95 / 100 (HIGH Probability of Success)	43 / 100 (LOW Probability of Success)
Actionable Decision	PROCEED • File Form GST APL-01 Appeal	HOLD • Do NOT proceed without transit proof

3. 30-Second Pitch for Examiners (Candidate Script)

"Respected Examiners: This engine solves the ₹75,000 Crore Section 16(2)(c) crisis for Indian CAs. In **Case 1**, when a supplier is retrospectively cancelled but the buyer paid via RTGS and has unbroken transit records, the engine scores it **100/100 PROCEED** based on Supreme Court *Suncraft* and Calcutta HC *LGW Industries*. In **Case 2**, when transit records are missing, it does not hallucinate; it immediately halts the case with **50/100 HOLD**, protecting the client from disastrous litigation. That is the power of deterministic legal AI."